

JUSTIFICATION FOR AN EXCEPTION TO FAIR OPPORTUNITY

1. Contracting Activity: Department of Veterans Affairs (VA)
Office of Procurement, Acquisition, and Logistics
Technology Acquisition Center (TAC)
23 Christopher Way
Eatontown, NJ 07724
2. Description of Action: The proposed sole source action is for a modification to the Veteran Readiness and Employment (VR&E) Products Sustainment and Enhancement Services (PSES) Task Order (TO) 36C10B21N10030033, which was issued under the Transformation Twenty-One Total Technology Next Generation (T4NG) Indefinite Delivery Indefinite Quantity (IDIQ) contract VA118-16-D-1003 to GovCIO LLC, 4000 Legato Road Suite 600, Fairfax, VA 22033. The purpose of this modification is to increase the firm fixed price (FFP) Not-to-Exceed (NTE) ceiling for Optional Task 1, to support tasks that are critical to ensure development goals are met for VRE's Readiness and Employment System (RES) and the Education Service (EDU) Digital GI Bill (DGIB) which are currently underway and scheduled for completion by the end of the VR&E PSES TO Option Period 4. There will be no changes to the type of work or technical requirements being performed under the VR&E PSES TO, nor will the overall period of performance of the TO be extended due to this modification.
3. Description of the Supplies or Services: The VR&E PSES TO was awarded on June 10, 2022 for a 12-month base period with four 12-month option periods for VR&E to provide sustainment and enhancement support services for the Education Veteran Readiness and Employment Product Line (EVREPL). The VR&E PSES TO is the primary vehicle providing the resources to operate, maintain, develop, enhance, and integrate VR&E and EDU products/applications to streamline systems, improve scalability, increase availability of services, share and update data between related systems, and enable more efficient delivery in support of VA programs that provide access to education and training – as well as living expenses – for eligible beneficiaries. These programs equip Veterans with the tools, counseling, and financial support necessary to successfully transition from the military into civilian employment. The base and each option period include the baseline requirements for project management and a small sustainment team. The majority of the work performed under the TO is procured via Optional Task 1 – Additional Sustainment Support which provides the program office the flexibility to procure additional sustainment teams to support specific project requirements and initiatives for the systems within the EVREPL at a pre-determined FFP.

The VR&E PSES TO provides system improvement, operation, and maintenance for Corporate, Waco, Indianapolis, Newark, Roanoke, Seattle System (CWINRS), RES, Veteran Education Benefit Tools (VEBT), Electronic Virtual Assistant (eVA), and Federal Case Management Tool (FCMT) systems. Sustainment Teams ensure these

systems effectively manage current and future Veteran benefits claims submissions, support Veteran outreach programs and deliver benefits for Veterans and their survivors faster, more accurately, and more securely. The modernization of VA's benefits information technology (IT) systems required by the Sergeant First Class Heath Robinson Honoring our Promise to Address Comprehensive Toxics Act (PACT Act) has impacted the sustainment of VRE and EDU systems by driving the need for new system capabilities, new and improved testing and training environments, and new and updated IT support tools to provide faster search and response times across evidence files, improving workload management, and securing Veteran data. Due to the rapid improvements made to these systems through work performed under the VR&E PSES TO, VA VR&E's business line successfully processed record claim levels in FY 2024 (105,823 claims) and FY 2025 (147,034 claims).

The Optional Task 1 NTE ceiling was initially established based on an estimated number of Sustainment Teams that may be required over the life of the TO based on historical operations and maintenance needs for the EVREPL systems. However, due to the impact of the PACT Act, Optional Task 1 was exercised at a faster rate than originally estimated in order to accelerate planned projects and initiatives to meet Congressionally mandated requirements for the EVREPL systems. Due to this accelerated timeline, the VR&E EVREPL is scheduled to reach a critical milestone of completing the migration of Chapter 31 functionality from the legacy CWINRS to the new RES which will be deployed nationally during 2026. VR&E Sustainment Teams will be required to support the data migration of over 150,000 active cases from the legacy CWINRS system to RES during Option Period 4 of the current TO to support this critical milestone for the EVREPL. Additionally, DGIB's VEBT has critical work in process that is Veteran-facing front-end work and time-critical, due to retirement of the BDN mainframe and moving BDN functionality to DGIB, that must be completed during Option Period 4 of the TO. These include enhancement of benefits calculation within the Comparison Tool to improve data accuracy, enhancing Veteran experience through updated design, and implementing new functions to better support informed decision-making. Also included in this work is the required compliance with Dole Act Requirements related to the collection, display, and management of student feedback and student outcome data. This work ensures that VA tools meet mandated transparency standards and provide Veterans and beneficiaries with reliable, actionable information when selecting education and training options.

In order to support these critical initiatives and major technical milestones, eliminate significant risk, and potential loss of VA's investments in the EVREPL systems to date, VA requires an increase to the Optional Task 1 NTE ceiling in order to obtain the current vendor's continued performance during Option Period 4 to complete scheduled functionality, data migration, training, and an orderly transition from legacy EVREPL systems to the new RES and DGIB systems, all of which is scheduled for completion by the end of VR&E PSES TO Option Period 4.

4. Statutory Authority: The statutory authority permitting an exception to fair opportunity is Section 41 U.S.C. 4106(c)(3) as implemented by the Federal Acquisition Regulation (FAR) Overhaul VA Deviation 16.507-6(b)(3) entitled "The order must be issued on a

sole-source basis in the interest of economy and efficiency because it is a logical follow-on to an order already issued under the contract, provided that all awardees were given a fair opportunity to be considered for the original order.”

5. Rationale Supporting Use of Authority Cited Above: VA’s sustainment and enhancement work under the VR&E PSES TO provides essential improvements to the VR&E EVREPL systems, resulting in claims being processed more quickly, securely and accurately. RES and DGIB systems are scheduled to reach critical technical milestones during Option Period 4 of the current TO which require the current vendor, GCIO, to provide the sustainment teams necessary to support the national deployment of Chapter 31 functionality in RES, data migration of over 150,000 active cases from the legacy CWINRS system to RES, and supporting the retirement of the legacy BDN mainframe by moving functionality to DGIB’s VEBT. Initial timelines for the shift from the VR&E EVREPL legacy systems to RES and DGIB were accelerated after the implementation of the PACT Act and both RES and DGIB are now VBA top-5 initiatives for 2026. Transitioning this work to a new contract mid-flight presents serious risk to Government schedules and costs, which will impact VA’s ability to provide Veteran benefits critical to education and transition from military to civilian occupations.

The RES system is VBA’s #1 priority for FY26. RES Chapter 31 functionality is being deployed and the national rollout is in a critical phase. Field users need to be trained; processes, systems and data needs to be migrated from the legacy CWINRS to RES, and ultimately, CWINRS’ Chapter 31 functionality will be sunsetted. In order to successfully complete these requirements and meet the aggressive, high-visibility deployment schedule for RES, VA requires the current contractor to continue providing the necessary sustainment and enhancement support for these systems during Option Period 4 of the VR&E PSES TO. Specifically, there will be issues requiring both CWINRS and RES system expertise to move forward and rollout successfully. CWINRS is a 20+ year old system built within VA. It is difficult to find experts in the legacy system, and many of the current resources performing on the TO have 10+ years of experience supporting CWINRS. Another top priority for VBA is the successful implementation of DGIB. The VR&E PSES TO supports this initiative by providing the necessary sustainment and enhancement support for VEBT, which include fulfilling requirements for the Dole Act as well as integrating with BDN replacement systems to support the decommissioning of this legacy system. These critical activities will be completed during Option Period 4 of the VR&E PSES TO. Transitioning to a new contract before these critical activities are completed would introduce unnecessary and significant risks to include rollout delays, Veteran payment and/or curriculum impacts, missed subsistence allowance payments leading to negative housing impacts; and technical risks such as disruptions to system availability and integration, which also impact the quality, security and speed of services provided to Veterans. Given the current phase of development and the proximity to go-live, continuity of service is critical. RES, in particular, has experienced two prior failed implementations under previous contracts, and this third attempt is under heightened scrutiny. Any disruption caused by a contract change could significantly increase risk of project failure directly affecting our Veterans. Maintaining the current vendor ensures uninterrupted progress and preserves the integrity of services that are vital to Veterans’ access to education,

employment, and independent living support.

As VA sunsets the Chapter31 functionality in CWINRS and transitions to VEBT to replace BDN functions, a logical break will occur by the end of Option Period 4 of the current TO when support of the legacy systems will shift to supporting the replacement systems, RES and DGIB. By increasing the NTE ceiling for Optional Task 1, VA can continue to receive the critical support services from the current vendor needed to reach these technical milestones. Transitioning the services to a new competitively awarded contract at this logical break will significantly minimize risk to the schedule, thereby contributing to the success of two major VBA priorities that support over 150,000 Veterans in their transition from military to civilian careers and independent living, and the even larger demographic of Veterans leveraging GI Bill benefits to complete their college aspirations.

The current VR&E PSES TO sustainment teams possess critical knowledge and expertise about these existing systems, both the legacy and new/replacement systems, and the current requirements, technical milestones, and aggressive schedule that is a result of deliberate and collaborative planning between VR&E and the Office of Information and Technology to successfully deliver the improvements Veterans benefits required by the PACT Act. VA must meet to support the success ongoing projects. Transferring this knowledge to a new team would involve extensive onboarding and training, estimated to take at least 3-6 months, which would significantly increase the risk of technical errors and schedule delays that would impact VA's nationwide deployment of RES as well as the replacement of BDN functionality with VEBT in support of DGIB. Any disruption in receiving the support services currently provided by GCIO through Option Period 4 of the current VR&E PSES would be detrimental to the progress that has been made in improving the accuracy and speed of claims processing, thereby negatively affecting Veteran satisfaction and support during their transition to civilian employment and independent living. Additionally, it is not in the best interest of the Government to spend the time and effort that would be required to transition to a new contract, onboard and train new sustainment teams to support legacy functionality and systems that are slated for sunseting and decommissioning by the end of Option Period 4 of the current TO. VA has already invested over \$30M to support these critical initiatives under the current TO. To avoid delays, duplication of effort, and potential disruption to mission-critical services, the most economical and efficient path forward is a logical follow-on modification to increase the NTE ceiling for Optional Task 1 in order to enable the completion of VBA's critical initiatives for RES and DGIB within the period of performance of the TO.

6. Efforts to Obtain Competition: Market research was conducted, as detailed in the Market Research section of this document. This effort did not identify any additional sources capable of providing seamless support VRE's rollout of Chapter 31 functionality in RES nationwide, the data migration and sunseting of this functionality in the CWINRS legacy system, and VEBT integration with replacement systems to support BDN decommissioning efforts, all of which are scheduled for completion during Option Period 4 of the current TO. Therefore, no competition is anticipated for this acquisition. In accordance with FAR Overhaul VA Deviation 16.507-6(f)(1), the

justification will be made publicly available on the Contracting Opportunities Page within 14 days of award.

7. Actions to Increase Competition: No barriers to future competition are anticipated. VA is currently working to finalize the requirements for a competitive follow-on contract, VR&E PSES 2. EVRE anticipates that the transition between contracts for the services being performed under the VR&E PSES TO will begin during Option Period 4 as sustainment efforts reach major milestones, including the training and data migration efforts that are required to reach the logical transition point from supporting the current legacy systems to the new systems RES and EDU systems. The transition of these services is expected to be no later than June 12, 2027, the completion date for VR&E PSES TO Option Period 4.
8. Market Research: Market research was completed by Government technical experts in January 2026 which included assessing the ability of companies that are, or previously have, provided sustainment and enhancement support for VA's IT benefits systems, including Booz Allen Hamilton Inc., Accenture Federal Services LLC, Client First Technologies Inc., Sierra7 LLC, and Veterans EZ Info Inc. While these companies have the high-level capabilities to provide services such as .Net development or cloud security, they all lack the necessary knowledge and expertise to seamlessly support the current initiatives for the VR&E EVREPL systems that are already in-flight and scheduled for completion during Option Period 4 of the current TO. Transitioning the sustainment and enhancement work to any of these companies prior to achieving the upcoming major milestones for the RES and EDU systems would necessitate onboarding and training new resources delaying progress until the middle of Option Period 4. This would add considerable risk and time as we meet the critical deadlines for these systems. Furthermore, VA would be spending this additional time and expense to onboard and train new resources on functionality and systems that are already scheduled to be sunsetted or decommissioned by the end of the current TO. As such, the most economical and efficient means of meeting VA's requirements and high-visibility schedule for the VR&E EVREPL is to increase the NTE ceiling Optional Task 1 in order to enable the current vendor, GCIO, to continue to support the current initiatives and complete the major milestones for the EVREPL systems, including RES and DGIB, scheduled for performance during Option Period 4 of the current TO. These critical initiatives including the rollout of Chapter 31 functionality in RES nationwide, training field users in the use of RES, migrating CWINRS data to RES, retiring Chapter 31 functionality from legacy CWINRS, and VEBT integration with BDN replacement systems and decommissioning. Given the current phase of deployment, training, migration and transition for over 150,000 active VRE beneficiaries and many more DGIB beneficiaries, continuity of service is critical. Maintaining the current vendor ensures uninterrupted progress and preserves the integrity of services that are vital to Veterans' access to education, employment, and independent living support.
9. Other Facts: N/A

Technical/Requirements Certification

I certify that the supporting data under my cognizance, which are included in this justification, are accurate and complete to the best of my knowledge and belief.

2/5/26

Date

Program Manager
Organization

Fair and Reasonable Cost Determination

I hereby determine that the anticipated price to the Government for this contract action will be fair and reasonable based as the FFP unit prices for Optional Task 1 for performance during Option Period 4 were incorporated into the TO at award. These prices are not subject to change due to the increase in the NTE ceiling and were previously determined fair and reasonable at time of TO award.

2/5/26

Date

Contracting Officer

Contracting Officer Certification

I certify that this justification is accurate and complete to the best of my knowledge and belief.

2/5/26

Date

Contracting Officer

Approval

In my role as procuring activity Advocate for Competition, based on the foregoing justification, I hereby approve the acquisition of a FFP modification to be issued under T4NG Contract VA118-16-D-1003/36C10B21N10030033 to increase the Optional Task 1 NTE ceiling to provide additional sustainment teams on an other than fair opportunity basis pursuant to the authority cited in Section 4 above, subject to availability of funds, and provided that the property and services herein described have otherwise been authorized for acquisition.

2/10/26

Date

[Redacted]
Advocate for Competition
Technology Acquisition Center
Office of Procurement, Acquisition and Logistics
Department of Veterans Affairs